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Should India Incentivise Bigger Families?

Should India incentivise bigger families?



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PARLEY

For decades, Indian policymakers have encouraged population control, with the familiar slogan of 'Hum Do, Humare Do' (We two, our two). However, the recent drop in India's Total Fertility Rate (TFR) – the average number of children a woman would have in her lifetime – has now dropped to 1.9, below the replacement rate of 2.1, with some southern States seeing their TFR drop to 1.3. Last month, Andhra Pradesh Chief Minister Chandrababu Naidu announced cash incentives of ₹30,000 and ₹40,000 to women having their third and fourth child respectively, in a bid to reverse that trend. Several other southern States have indicated that they also see the benefits of boosting population growth, though not through a cash payout. Should India incentivise bigger families? Aparajita Chattopadhyay and Neelanjana Sircar discuss the question in a conversation moderated by Priscilla Jebaraj.

Why are policymakers considering a change in the approach to population control?

Aparajita Chattopadhyay: After a long struggle with family planning since independence, our fertility has started declining. There are State-level variations, but overall fertility now is 1.9. It is fine, and India can grow in this way for maybe 40 to 50 years. But reversal of fertility trends cannot be a policy-driven thing. It is a deeply rooted socio-cultural thing and is an individualistic choice. You cannot tell a group of women to increase fertility because I am giving you money. It has never happened in that way, even in European or other Asian countries.

The political implications are the immediate trigger for this policy. Is the threat of future parliamentary delimitation a reason to reverse fertility decline?

Neelanjana Sircar: There has been a lot of discussion about the growth rate of southern States as delimitation is on the horizon. But we need to look beyond pure politics because any growth spurred by these incentives is unlikely to help in the short term. The reality is, if there's a delimitation exercise happening in the next couple of years, you're not going to dramatically change the fertility rate by then.

Another reason this is being considered is because of the political economy of States with a working population that may be shrinking. But this is a ham-handed approach. Social and demographic transformations are complex phenomena, and go hand in hand with a certain level of economic development. Historically,



Children playing on the swings near the outskirts of the Amaravati capital region, amid the summer heat, in Andhra Pradesh on May 8. G. A. Rao

with a certain level of social and economic development, the fertility rate drops.

Now, there's a cash incentive at play to encourage people to have more children. For a wealthy family, this incentive is simply not enough to invest in another child. But for a poor family, perhaps it is. Here, you are not just increasing the fertility rate in a State, you are also changing other social attributes in the population, in terms of who is going to be able to respond to such an incentive and who will not. It's not as simple as saying we've created a working age population because you've fundamentally changed the composition of the working age population once you've introduced an economic incentive.

What has been the international experience of attempting to boost population growth?

AC: Incentivisation can help relatively lower income groups, and this has happened in many European countries. For example, in Poland, there was a short term boost in birth rate only among the lower income demographics. In Sweden and France, tax incentives changed things for a short span, but it was very difficult to sustain that reversal, and the same thing happened with Singapore, Japan, South Korea.

Nowadays, the entire world is going through a polytaxis shock. There is a lot of instability in geopolitics, the economy, and the climate. Moreover, there are both altruistic and individualistic attitudes to fertility. The younger generation is quite aspirational. They need their prosperity – a good job and savings. So, you cannot ask them to go and have more children.

Until women confirm that there is security in every possible sense, they will not reverse the fertility rate because there are plenty of tangible and intangible costs for a woman or for the



Social and demographic transformations are complex phenomena, and go hand in hand with economic development. Historically, with a certain level of social and economic development, the fertility rate drops.

NEELANJANA SIRCAR

society to have an additional child. So at this juncture, I believe that incentivisation may not work. In India, especially, it is not required because we have a huge population base, so there may not actually be a scarcity of working age labourers. If you improve their skills, give them better job opportunities, improve the savings and investment scenario, and promote the silver ageing economy.

Falling fertility rates are an uneven phenomenon. What does this portend for Indian federalism?

NS: Obviously there are some immediate questions about converting populations into political representation through delimitation. But another variable would be that as we see differences in fertility rates, we're also going to see very different demographic profiles of States. And we know that the youth, the middle-aged, and the elderly all vote differently. They're in different stages of life, so they have different economic preferences in terms of what a government should be investing in, for instance, pensions versus manufacturing jobs versus childcare. So we're going to see very different political economy choices.

AC: With regard to Andhra Pradesh, if you look at the recent NFHS statistics, there are a number of areas, instead of cash incentives, where they can spend money in order to get lower middle class people to reproduce more. Almost one in four women aged 20 to 24 got married before turning 18. Only 30% of households have women who own any assets, and only 48% of women want to reproduce more. And because they're demographically advanced and can behave like Europe to reverse fertility trends, then the women in the workforce should be at 80%.

In European countries, the motherhood penalty is almost negligible. There is enough parental leave, and workforce participation is very high. So only when your economy and social security is perfect can you think of having a reversal of fertility trends.

What are some key findings of the

Longitudinal Ageing Study in India?

AC: By 2050, 20% or more of the Indian population will be aged 60 and above, so we have to prepare ourselves, especially with regard to healthcare costs. We need tremendous investment in geriatric care, basic primary healthcare, better pension schemes, and better savings schemes. We also need to have communities for elderly living. But we still have a huge population base. Don't mix up the percentages with the number base. We can reduce the working age population so long as we have a very highly skilled population who earn well and will pay for these costs.

If population growth incentives don't work, then lower fertility rate States may increase their working age population through migration from other States. What is the political fallout of that?

NS: Demographic anxieties have been showing up in one State after another. Even in a poorer State like West Bengal, there are demographic anxieties vis-à-vis Bangladesh. As for why this phenomenon happens, these are labour market vacancies. These are populations which have achieved a certain level of development, and yet the economy requires some people willing to do manual work, at a lower wage, in the sun. This is not a problem that can be solved by simply having more children. It is unlikely that demographic anxieties can be reduced as a function of the economic structure.

Migration is an economic phenomenon that is almost independent of the fertility rate, given what the economic condition of these States might be. The people who are being birthed there are very unlikely to be willing to do those jobs that people coming from north India are doing today in growth corridors.

It boggles the mind that somebody is trying to reverse what is a very standard social phenomenon and demographic trend at this stage of development. I understand that there are challenges in Europe where countries are well below replacement rates. But this entire debate is bizarre for the very simple reason that there are so many things the government could be spending this kind of money on which would actually address the needs of an ageing population and an underemployed population. This is a very peculiar policy decision.



To listen to the full interview
or go to the link
www.thehindu.com

Should India Incentivise Bigger Families?

Context

Andhra Pradesh became the first Indian state to announce cash incentives of ₹30,000 (3rd child) and ₹40,000 (4th child) to reverse fertility decline.

India's Total Fertility Rate (TFR) has dropped to 1.9 : below the replacement level of 2.1.

Some southern states like Andhra Pradesh and Tamil Nadu have TFR as low as 1.3.

Total Fertility Rate (TFR)

The average number of children a woman is expected to bear in her lifetime.

India's current TFR: 1.9 (NFHS-5); Replacement Level: 2.1 children per woman.

Baby Bust: A sustained decline in fertility rates below replacement level.

Demographic Transition Theory

Stage 1 (Traditional): High birth rate + High death rate.

Stage 2–3 (Transitional): Death rate falls first; birth rate follows later.

Stage 4–5 (Post-Modern/Baby Bust): Both rates very low; population may decline.

Should India Incentivise Bigger Families?

Why Incentivising May Not Work

Fertility is a deeply personal, socio-cultural decision : not primarily an economic one.

Poland, Sweden, Japan, Singapore : all saw only short-term boosts; reversal was not sustained.

AP's NFHS data shows almost 1 in 4 girls aged 20–24 married before 18 : focus should be elsewhere.

Motherhood Penalty

Practice Questions

Q. With reference to India's demographic trends, consider the following statements:

- 1. India's Total Fertility Rate (TFR) has fallen below the replacement level of 2.1.**
- 2. The Demographic Transition Theory predicts that fertility rates rise with economic development.**
- 3. Financial incentives have consistently and sustainably reversed falling fertility rates in European countries.**

Which of the above statements is/are correct?

- (a) 1 only**
- (b) 1 and 3 only**
- (c) 2 and 3 only**
- (d) 1, 2 and 3**

Where to apply for UPSC Exam

- **Prelims** : TFR and Replacement Level Fertility; Baby Bust; Demographic Transition Theory; NFHS data
- **Mains** : Should states incentivise population growth? Critically examine. / Implications of uneven fertility for Indian federalism and delimitation.
- **Interview** : Should India follow the Andhra Pradesh model of financial incentives for childbirth? / Is the demographic dividend at risk?

Dowry Deaths are About Patriarchy and Much More

Dowry deaths are about patriarchy and much more



DIPANKAR GUPTA

I HAVE just read the interesting article, "Patriarchy and the mother-in-law trope in India" by Audrey Diurello (UJ, June 7). She is right on most counts but elides over a crucial detail. I don't mean to dispute her argument, but a few additional issues need to be factored in.

One wonders why a once-oppressed new bride can oppress another just a generation later. Of course, patriarchy has a big role to play, but it is the specific type of patriarchy that matters.

There is patriarchy across the world, but that fact does not lock in with dowry deaths or even dowry. More importantly, there is patriarchy both in north and south India, but dowry deaths occur predominantly in the northern and central states, with the south and even Maharashtra figuring way down in this grim tally. So it must be patriarchy plus that accounts for the belated suicide of dowry deaths in the north. Uttar Pradesh records over 2,000 such deaths annually, while the figure is barely in double digits in Kerala. In terms of cases recorded, Maharashtra, too, has a low incidence of dowry deaths with a conviction rate as low as Karnataka and Andhra Pradesh.

Now, do these states have patriarchy in full flow, so why this difference? The missing link is the way marriage relations are conducted in these regions. In the north, the bride-giver's family is considered to be of lower social status than that of the bride-taker (recall the awe-inspiring and painful distinctions). The bride in this case is the beginning of gift-giving between these two families. The woman is the first gift, a supreme gift.

The rationale for dowry begins here. From the initial gift, the wife or kanyasulk by the males of the bride's family begins the continued demand for propitiation by the groom's family. This is not unusual and it solidifies, with multiple iterations, the asymmetrical relationship between bride-giver and bride-taker. The latter believes it is their ritually sanctioned right to demand gifts from the bride's side in perpetuity. Consequently, the bride is vulnerable in her wedded home and must bend as a subject member of the household.

Contrast this with the southern practice of marriage alliance. Here there is prevalence of cross-cousin marriage, that is, with the mother's brother's daughter. If this rule is strictly followed, then women are returned a generation later to the same extended family that gave a woman away. The Gods of Madhya Pradesh, who also follow this rule of cross-cousin marriage, fetchingly call it "dadh kanyasulk", or return of the milk.

In this scenario, the bride is not a stranger in the groom's home nor is she a

supreme gift. She is, after all, a cousin! This immediately takes the sting out, inconsistent with the unequal relations between bride-giver and bride-taker in the north.

In north India, the bride is consciously reminded of her subjugated status in her married home and this burden is willingly accepted by her side. This explains why very parents are reluctant to take her back even when they learn she is being harassed. If she should, unthinkingly, give birth to girls, she faces endless accusations. But now her married family will accuse her of being responsible for pushing them down to accept a lower status when these girls have to be married. She has now defamed the whole family.

Contrarily, if a boy is born, this woman becomes a bride-taker and joins her husband's patriarchal family as a near-equal member. In many ways, the mother of the boy transforms into a sociological male. This establishes her position in her husband's household, which is up above cannot be accomplished. As a newly married bride-taker, she has all the symbolic energy of the men in her husband's family.

This unequal relationship has tragic consequences on the flip side when it comes to farmers' suicides. In those states where dowry deaths are high, farmers' suicides are low. Hence, counterintuitively, the poor regions of Bihar and Uttar Pradesh (UP), notorious for high dowry deaths, have low rates of farmers' suicides. Once again, the explanation lies in the difference in marriage customs. This has this side with dowry, as it does without.

In the north and south, when an agricultural family is in debt, it is almost always the male in the household who must bear the responsibility. Very often, other family members have little information about their debt status. The male farmer starts by taking a loan. When he cannot repay it, he goes to informal sources, each more rapacious than the next. Finally, when he exhausts these, he turns to his wife's family for help because his own paternal kinfolk are as unkind as he is.

In the north, where dowry is common practice, there is no loss of face in a man asking his in-laws for financial help. This is just another kind of dowry giving and involves no shame. In the south, it is different. The farmer is now borrowing from his wife's family, with whom his relationship is not that of a superior. In the fulsome of time, a gift from his family will be returned to his wife's family. Therefore, when this financially stressed farmer cannot repay the money he had borrowed from his wife's father or brother, he is shamed at home and in every family gathering. It is this mounting pressure that finally forces him to die by suicide.

Marriage and kinship explain a lot about both kinds of suicides. One can see the trade-offs of dowry that leads young brides to death and the other the social shame that compels many male farmers to die by suicide. Patriarchy is a background factor but not the determining variable.

The writer is a sociologist.



Dowry Deaths are About Patriarchy and Much More

Key Argument

Dowry deaths are not simply a product of patriarchy, the type and structure of marriage customs (North vs South India) is the critical explanatory variable.

North India: Bride-giver family is socially inferior; woman is the first gift (Kanya-daan). Continued gift demands follow marriage.

South India: Cross-cousin marriages (mother's brother's daughter), bride is not a stranger; no inferior social status for the bride-giver family.

Geographical Pattern of Dowry Deaths

Dowry deaths occur predominantly in northern and central states.

Uttar Pradesh: Over 2,000 dowry deaths annually. Kerala: Barely double digits.

Maharashtra and Karnataka have patriarchy but very low dowry death rates.

Anuloma and Pratiloma

Anuloma: Marriage of man to woman of lower caste/status considered acceptable (hypergamy).

Pratiloma: Reverse marriage socially condemned.

This asymmetry underpins the inferior status of bride-giver family in northern India.

Dowry Deaths are About Patriarchy and Much More

Farmer Suicides and Dowry Deaths : Inverse Relationship

North India: High dowry deaths + Low farmer suicides (debt burden falls on the male in household and shift their burden to women household).

South India: Low dowry deaths + Higher farmer suicides (farmer borrows from wife's family cannot repay = social shame).

Conclusion: Poverty alone does not explain the pattern, kinship structure of marriage is the key variable.

Where to apply for UPSC Exam

- **Interview :** What is your view on dowry as a social institution? / Does South India's lower dowry death rate reflect genuine social progress?

SC: Homemakers Build Nation, Work Worth at Least ₹30,000 a Month

SC: homemakers build nation, work worth at least ₹30,000 a month

Rizmi Lia M.
CHENNAI

Observing that homemakers deserve to be recognised as “nation builders”, the Supreme Court on Thursday ruled that the unpaid domestic work performed by them must be monetised at a minimum of ₹30,000 per month while calculating compensation for deaths in road accidents.

The ruling came in an appeal arising from a motor accident claim in Punjab where a woman named Reshma died in a road accident in November 2001. Her husband and three children approached the Motor Accident Claims Tribunal seeking compensation. While the tribunal awarded compensation in 2003, they approached the High Court to enhance the amount. On appeal, the High Court enhanced the compensation to ₹8.43

The ruling came in an appeal arising from a motor accident claim

lakh with 7.5% interest, providing for a higher rate of interest in case of delay in payment.

A Division Bench of Justice Sanjay Karol and Justice N.K. Singh said the contribution of a homemaker extended beyond the household and played a vital role in nation-building. “We are of the view that the housewife contributes to the growth of the human being and the nation,” said the Bench.

Justice Karol stated that “loss of domestic care” would be an additional ground to the heads of damages previously recognised by the court.

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SC: Homemakers Build Nation, Work Worth at Least ₹30,000 a Month

The Ruling

Supreme Court (Division Bench : Justices Sanjay Karol and N.K. Singh) ruled that unpaid domestic work must be valued at minimum ₹30,000/month for compensation in road accident deaths.

Case arose from Punjab woman named Reshma died in a road accident in 2001; family approached MACT.

SC termed homemakers as 'nation builders' their contribution extends beyond the household to nation-building.

Motor Accidents Claims Tribunal (MACT)

Constituted under the Motor Vehicles Act, 1988.

Adjudicates compensation claims arising from road accident deaths and injuries.

Key compensation heads: Loss of dependency, loss of consortium, funeral expenses, loss of estate.

'Loss of domestic care' was added as an additional ground for damages by this ruling.

SC: Homemakers Build Nation, Work Worth at Least ₹30,000 a Month

- **Unpaid Care Economy**

Women perform 3–4 times more unpaid care work than men globally (ILO data).

India's GDP does not account for domestic and care work estimated at 15–39% of GDP if included.

This ruling nudges the legal system toward recognising the economic reality of unpaid domestic labour.

Significance

First time the SC set a concrete monetary floor for homemaker labour in accident compensation.

Recognises the care economy as a productive contribution to national development.

Has implications for women's economic rights and status in Indian jurisprudence.

Where to apply for UPSC Exam

- **Prelims** : Motor Accidents Claims Tribunal (MACT); Motor Vehicles Act, 1988; Unpaid Care Economy; Compensation heads in accident law
- **Mains** : How does the SC ruling on homemakers reflect the evolving understanding of the care economy? / Discuss the economic and social invisibility of women's unpaid labour in India.
- **Interview** : Should unpaid domestic work be counted in India's GDP? / What does the SC ruling on homemakers mean for gender justice in India?

In PoK Protests: Weight of History, Woes of the Present

In PoK protests, weight of history, woes of the present



YASHEE

AT LEAST 15 people have been killed in Pakistan-occupied Kashmir (PoK) as protests rage a month ahead of scheduled local elections.

Authorities have responded with a crackdown, banning the group leading the protests, announcing a bounty for the arrest of some leaders, and clashing with the locals. While PoK has seen a number of protests since 2023, a recent Pakistan Supreme Court verdict on reservation of seats in the PoK assembly has become a flashpoint.

Why are people in PoK protesting?
In 2023, residents first mobilised against rising electricity bills and shortages of subsidised wheat. PoK residents argue that since significant hydropower is generated from the Mangla project in this region, they should not have to pay hefty electricity bills. The perks and privileges given to government officials amid the economic slide in Pakistan has been another irritant.

The protests are spearheaded by the Joint Awami Action Committee (JAAC), founded by traders, professionals and civil society activists.

The people in Kashmir are embittered and angry for a lot of reasons. They say the Mangla dam was built without their consent, and while their people were displaced for it, they still pay high power tariffs. The region has always been underdeveloped; there has been heavy security deployment because of militancy. The economic privations have been sharpened by the issue of political representation. The Legislative Assembly is largely controlled by Islamabad bureaucrats," analyst Ayesha Siddiqi, Senior fellow at King's College, London, who hails from Pakistan, told *The Indian Express*.

The government has been talking to the JAAC and claims that several of their demands have been met.

However, the biggest sticking point is the 12 seats in the PoK Assembly reserved for Jammu and Kashmir migrants settled in different parts of Pakistan. The locals have long demanded that this reservation be abolished, while the authorities have argued that it is a lengthy process requiring a constitutional amendment. Earlier this



Police patrol an area in Muzaffarabad, Pakistan-occupied Kashmir, Tuesday. (1)

month, the PoK Supreme Court held that an amendment in the region's constitution "was not a concession to be wrested" from the government.

What is this reservation of seats?

Under the PoK Constitution, the 12 seats are divided among "refugees settled in Pakistan", with some seats going to Punjab, some to Sindh, etc. The election of these members happens outside PoK geographically as well as operationally, as the local Election Commission doesn't conduct the polling. Locals say these seats are effectively used by the federal government to get their people into the PoK Assembly.

Apart from these 12, five seats are reserved for women, one for *Ulamas* (religious scholars), one for Kashmiris living overseas, and one for "technocrats." So in a House of 53, PoK voters elect only 33 people. However, opposition is sharper against the 12 refugee reservations, as Siddiqi said, "The local population feels that people with no connection to Kashmir get elected on these. They say MQM-willafu (a party that represents Urdu-speaking immigrants from India) get into our Assembly."

There is also an economic angle. "Out of the 53 seats in the Assembly, 20 are controlled by the Centre under cover of various reservations. The Army basically controls these seats. But the funds for these representatives come from PoK's kitty. The locals argue that since they don't elect these

Crackdown

With the world's eye on Pakistan amid its Iran war negotiator role, wouldn't the government be more cautious about how it treats Kashmiri protesters?

• Siddiqi said on the contrary, the international situation would embolden the government. They know no one is going to lecture them on human rights right now."

people, they should not have to spend on them either," Dr. Dhirubajoti Bhattacharjee, Senior Research Fellow at Indian Council of World Affairs, New Delhi who focuses on Pakistan, told *The Indian Express*.

Those who support the reservation point to the fact that India too allowed seats in the Assembly of the state and later the Union Territory of Jammu and Kashmir for people living in parts occupied by Pakistan. However, these seats are kept vacant, unlike in PoK.

What was unusual this time?

The government has banned JAAC and booked its leaders on stringent charges, including terror and sedition. There has also been a violent crackdown. India on Tuesday condemned the "police brutality" in PoK and hoped "the international community will hold Pakistan accountable for its misdeeds and abuses."

A significant PoK diaspora lives in the UK and has been calling attention to the happenings there.

Bradford East MP Imran Hussain, along with other Members of UK Parliament, have written to Foreign Secretary Yvette Cooper over the issue. Hussain also posted on X, "I have called for an immediate end to the lockdown, the immediate restoration of communications, and the urgent resumption of peaceful table talks and negotiations at the heart of which must be respect for Kashmiri human rights."

At the heart of the recent protests in Pakistan-occupied Kashmir are 12 seats reserved for migrants from J&K to different parts of Pakistan

What's happening in Gilgit-Baltistan?

The other part of the erstwhile princely state of Jammu and Kashmir under the illegal occupation of Pakistan is Gilgit-Baltistan, where elections were held recently. India last week lodged a strong protest regarding these elections, with the Ministry of External Affairs stating: "The Government of India reiterated its well-known position that the entire Union Territories of J&K and Ladakh, including the so-called 'Gilgit-Baltistan', are integral and inalienable parts of India as a result of complete, legal and irrevocable accession of J&K to India in 1947... India categorically rejects any attempts by Pakistan to bring material change to areas under Pakistan's illegal occupation."

Gilgit-Baltistan's fate under Pakistan's occupation has been both similar to and different from PoK. It is also underdeveloped, and has seen protests over issues of economic and political representation. Because of a large Shia population, it has seen sectarian strife. However, sections in the region have also demanded full integration with Pakistan.

Pakistan has always caved to the fate of Gilgit-Baltistan to what it wrongly believes is the disputed status of Jammu and Kashmir. The area is under tight control of the federal government. It has been discriminated against *inter alia* for sectarian and ethnic reasons, and has remained underdeveloped, former diplomat Vivek Katiya, who has dealt with Pakistan and Afghanistan, told *The Indian Express*.

In effect, Pakistan has never tried to make Gilgit-Baltistan a full province — and give its residents full citizen rights — as it still demands a plebiscite in which the princely state of Jammu and Kashmir. After India repealed Article 370 in Jammu and Kashmir in 2019, there were talks of a 18-for-18 move by Pakistan in Gilgit-Baltistan, but that did not progress. The China-Pakistan Economic Corridor (CPEC) passes through this region, which India has always opposed.

Islamabad has had quite a colonial attitude to Gilgit-Baltistan. Unlike PoK, not a lot of mainland Pakistanis have come to settle in this region. Gilgit-Baltistan is isolated, even from the Pakistani mainstream, doesn't get much attention, and is very under-reported on," said Bhattacharjee.

The elections held recently have also faced allegations of rigging and voter interference from the federal government.

In PoK Protests: Weight of History, Woes of the Present

Why are PoK Residents Protesting?

Rising electricity bills and wheat subsidy cuts residents pay high tariffs despite **Mangla Dam's** hydropower being generated locally.

Economic underdevelopment and heavy security deployment.

12 seats in the 53-seat PoK Assembly are reserved for 'refugees settled in Pakistan' (Punjabi, Sindhi migrants), locals demand their abolition.

What is PoK?

Pakistan-occupied Kashmir a part of the erstwhile J&K princely state under Pakistan's illegal control since 1947.

India's position: The entire J&K, including PoK and Gilgit-Baltistan, is an integral and inalienable part of India.

The J&K accession to India (1947) was complete, legal and irrevocable.

India also allots seats in the J&K Assembly for people living under Pakistani occupation — these remain vacant.

In PoK Protests: Weight of History, Woes of the Present

Gilgit-Baltistan

The other part of erstwhile J&K under Pakistan's occupation never made a full province.

China-Pakistan Economic Corridor (CPEC) passes through this region : India has always opposed this.

Recent elections held in Gilgit-Baltistan : India lodged a formal protest with the Ministry of External Affairs.

Residents lack full citizen rights; region used as a strategic bargaining chip by Pakistan.

India's Diplomatic Opportunity

The protests signal growing anti-Pakistan sentiment in PoK : a diplomatic opportunity India must engage with.

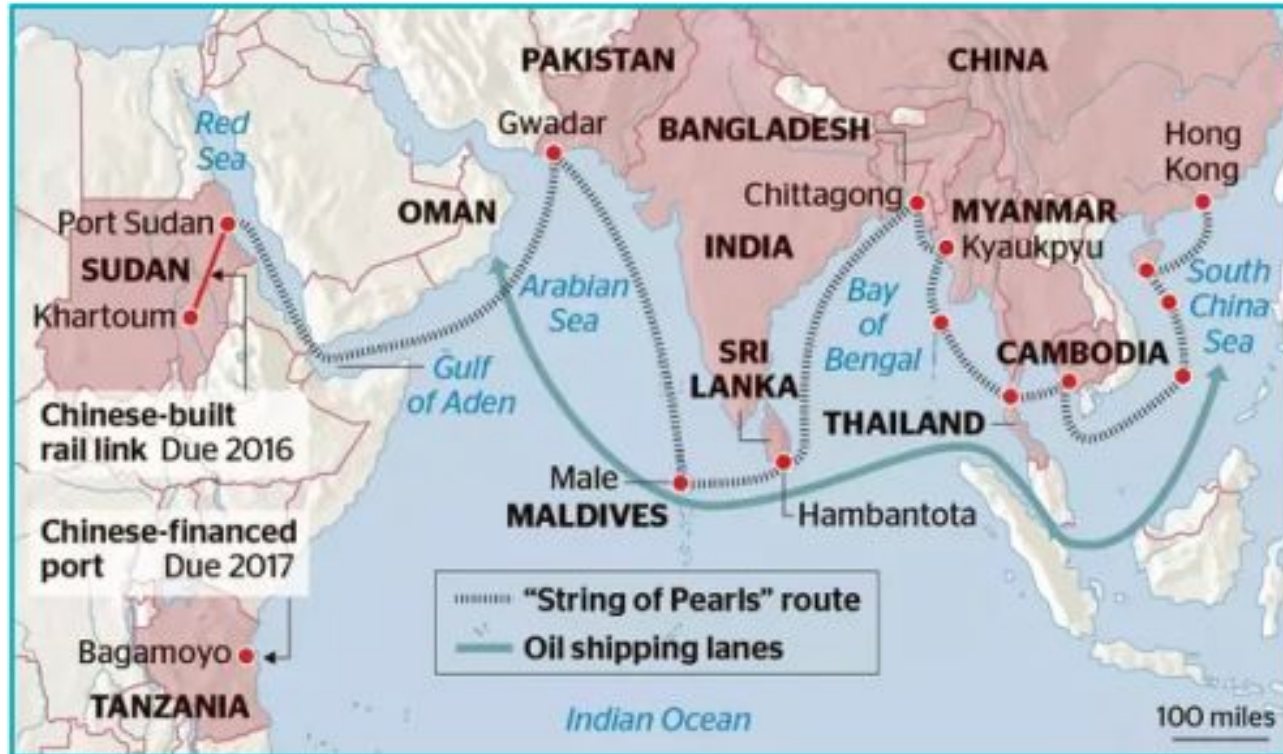
In PoK Protests: Weight of History, Woes of the Present



In PoK Protests: Weight of History, Woes of the Present

- CPEC is a 3,000-km long route of infrastructure projects connecting China's northwest Xinjiang Uygur Autonomous Region and the Gwadar Port in the western province of Balochistan in Pakistan.
- **CPEC is a part of the Belt and Road Initiative.** The BRI, launched in 2013, aims to link Southeast Asia, Central Asia, the Gulf region, Africa and Europe with a network of land and sea routes.
- **Chinese String of Pearls:** China has been increasing its presence in the Indian Ocean with the 'String of Pearls' ambition: A term coined by the Americans and often used by Indian defence analysts to refer to a Chinese game-plan of encircling India through a network of airfields and ports.
- With an existing presence in Chittagong port (Bangladesh), Hambantota port (Sri Lanka), Port Sudan (Sudan), Maldives, Somalia and Seychelles, a control of Gwadar port establishes complete dominance of the Indian ocean by the Communist nation.

In PoK Protests: Weight of History, Woes of the Present



In PoK Protests: Weight of History, Woes of the Present



R&D Underspending in India: Systemic as Well as Cultural

Q. Consider the following statements about China-Pakistan Economic Corridor (CPEC):

1. It aims to link the Western part of China to the Gwadar Port in Balochistan, Pakistan.
2. It is not a part of Belt and Road Initiative.

Which of the statements given above is/are not correct?

[A] 1 only

[B] 2 only

[C] Both 1 and 2

[D] Neither 1 nor 2

R&D Underspending in India: Systemic as Well as Cultural

R&D underspending in India has no one cause. It's systemic as well as cultural

WHEN ANALYSTS encounter the observation that Indian businesses chronically underinvest in research and development, the instinct is to reach for systemic explanations and to resist cultural ones. The resistance is not unreasonable. Cultural explanations, carelessly deployed, slide into stereotypes, and stereotypes foreclose rather than illuminate. Yet the categorical rejection of culture as an explanatory variable creates its own blind spot, because some of the most persuasive systemic explanations turn out, on inspection, to incorporate cultural elements — not as fixed ethnic traits but as historically conditioned orientations that may change as the circumstances that produced them change.

The truth, as usual, lies in the intersection between multiple causes, none of which is individually sufficient.

The captive market and its seductions

Begin with the most structurally respectable explanation: India's domestic market is vast, and vastness, paradoxically, can be an impediment. A large captive market insulates producers from the bracing pressure of export competition, which has historically been the driving force behind quality improvement and technological upgrading. This is the R&D equivalent of Dutch disease — the same abundance that appears to be an asset quietly erodes the competitive muscle that exposure to harder markets would build. Companies that can grow for decades by serving a billion-plus consumers without venturing beyond the Subcontinent have little incentive to invest in the costly, uncertain process of frontier innovation. Why develop a better product when the existing one sells readily?

The long shadow of colonial deindustrialisation

A second explanation reaches further back. Indian commercial communities have historically been trading rather than manufacturing communities, and while this characterisation admits exceptions, it reflects a genuine historical reality. Whatever manufacturing instincts and capabilities existed before colonial rule were, in many cases, systematically suppressed. The de-industrialisation documented by economic historians — the destruction of India's textile industry, among others — was not merely an economic event; it reshaped the orientation of Indian enterprise toward commerce, intermediation, and arbitrage rather than production and innovation. The few families that retained or rebuilt a manufacturing identity stand as evidence of what might have been more widespread had history taken a different course.

Financialisation before its time

The third explanation may be the most consequential, and is the one with the richest empirical corroboration from other markets. India's corporate sector underwent a degree of financialisation — a shift in priorities from productive investment to financial return — somewhat earlier than its level of industrial development warranted. This sequencing mattered enormously.

The empirical record from developed markets is sobering. William Lazoniak's research, published in the Harvard Business Review in 2014, documented how the shareholder-value doctrine drove American corporations toward stock buybacks and dividends at the expense of investment in capabilities. Between 2003 and 2012, the 449 com-



V ANANTHA NAGESWARAN

India's corporate sector underwent a degree of financialisation — a shift in priorities from productive investment to financial return — somewhat earlier than its level of industrial development warranted

panies that had been continuously listed in the S&P 500 spent 54 per cent of their earnings on buybacks and another 37 per cent on dividends, leaving precious little for R&D. The central argument was that "maximise shareholder value" had been operationalised as "maximise short-term stock price", with predictable consequences for long-run competitiveness. The distortions introduced by executive stock option schemes compound this problem. Research by John Core, Wayne Guay, and David Larcker on equity-based compensation has shown that options tied to short-term stock performance create incentives to manage earnings rather than invest in projects with distant payoffs. R&D expenditure, by its nature, suppresses near-term profits while creating competitive advantages over a horizon of five to 10 years — a horizon that typically outlasts both the executive's tenure and the vesting period of their compensation package. The gains accrue to the executive's successors; the costs fall on the executive's own balance sheet, John Asker, Joan Farre-Mensa, and Alexander Ljungqvist, in a widely cited 2015 study comparing investment behaviour between publicly listed and privately held firms in the US, found that public companies invest substantially less — and are significantly more sensitive to short-term stock price movements — than comparable private firms facing no such scrutiny. The mechanism was precisely the quarterly reporting cycle.

India's corporate sector absorbed the structural features of financialised capitalism before it had fully developed the manufacturing depth and technological capabilities that American and European corporations pos-

sessed when they eventually succumbed to the same pressures. Germany, Japan, and South Korea financialised their economies only after generating decades of compounding returns on investment in real productive capability. India attempted the transition earlier, with less accumulated capability to draw upon, and is now paying a portion of the price in an R&D intensity that remains well below what its strategic ambitions require.

Democracy, uncertainty, and the discount rate

Competitive popular democracy in a large developing economy generates its own structural uncertainty about the long-term future. Reconciling the demands of a vast and diverse electorate, multiple levels of government, a hostile neighbourhood, and stakeholders with sharply competing interests makes confident long-run prediction genuinely difficult — not as an intellectual failure, but as a rational response to the environment. Businesses internalise this uncertainty directly: The greater the uncertainty about the conditions under which a long-horizon investment must eventually pay off, the higher the discount rate applied to it. R&D expenditure — which suppresses near-term profitability in exchange for competitive returns that may take a decade to materialise — is precisely the kind of commitment that suffers most when discount rates are high. The result is not irrationality; it is the correct pricing of genuine uncertainty. That it produces underinvestment in the capabilities India most needs is the tragedy of the situation, not its justification.

The writer is chief economic advisor, Government of India. This is the first article in a two-part series. The second article will appear tomorrow

R&D Underspending in India: Systemic as Well as Cultural

The Core Problem

India chronically under invests in Research and Development : R&D spending as % of GDP is far below global peers.

India: ~0.65% of GDP; China: ~2.4%; USA: ~3.5%; South Korea: ~4.9%; Israel: ~5%.

Author (V. Anantha Nageswaran, Chief Economic Advisor to GoI) argues: no single cause : it is systemic AND cultural.

Cause 1 : The Captive Domestic Market

India's vast domestic market insulates companies from export competition no pressure to innovate.

Why develop a better product when the existing one sells readily to 1.4 billion consumers?

This is the R&D equivalent of **Dutch Disease** : abundance creating competitive complacency.

R&D Underspending in India: Systemic as Well as Cultural

Dutch Disease is an economic problem that happens when a country discovers valuable natural resources like oil, gas, or minerals.

As the country starts earning a lot of money from exporting these resources, one part of the economy grows very fast, while other sectors grow slowly or even decline.

R&D Underspending in India: Systemic as Well as Cultural

Cause 2 : Colonial De-industrialisation

British rule systematically suppressed India's manufacturing instincts and capabilities.

India's commercial communities historically traded rather than manufactured, a legacy of colonial history.

De-industrialisation (e.g., destruction of India's textile industry) reshaped enterprise orientation toward commerce, not production.

Cause 3 : Premature Financialisation

India's corporate sector shifted from productive investment to financial returns before achieving industrial maturity.

Shareholder-value doctrine → stock buybacks and dividends at the expense of R&D.

R&D suppresses short-term profits and falls on the executive's own balance sheet — penalised under quarterly reporting culture.

R&D Underspending in India: Systemic as Well as Cultural

Cause 4 : Democratic Uncertainty

Large democracy + hostile neighbourhood + competing interests → long-term prediction genuinely difficult.

High discount rates make R&D which may take a decade to pay off economically irrational.

Not irrationality: it is the correct pricing of genuine uncertainty.

Practice Questions

Q. Consider the following statements regarding India's Research and Development (R&D) ecosystem:

- 1. India spends approximately 0.65% of its GDP on R&D among the lowest among major economies.**
- 2. The term 'Dutch Disease' in the context of R&D refers to how a large captive domestic market reduces pressure on firms to innovate.**
- 3. 'Premature Financialisation' refers to a corporate shift from productive investment to financial returns before achieving industrial maturity.**

How many of the above statements are correct?

- (a) Only one**
- (b) Only two**
- (c) All three**
- (d) None**

Answer : (c) All three

All statements are factually accurate per the article by V. Anantha Nageswaran, Chief Economic Advisor to the Government of India.

Where to apply for UPSC Exam

- **Prelims** : India's GERD (Gross Expenditure on R&D) as % of GDP; Dutch Disease concept; Financialisation; Colonial de-industrialisation
- **Mains** : Why does India underinvest in R&D? Examine systemic and structural reasons. / Discuss the role of the private sector in India's innovation ecosystem.
- **Interview** : What steps should India take to become a global R&D hub? / Is the private sector doing enough for research and innovation in India?

Bacillary Dysentery (Shigellosis) Cases Rise in Kerala

Bacillary dysentery cases rise in Kerala

The Hindu Bureau

THIRUVANANTHAPURAM

More cases of shigellosis (bacillary dysentery), a highly contagious bacterial diarrhoeal disease caused by shigella, are being reported across Kerala, with a total of 34 cases reported in June alone.

Thiruvananthapuram has reported six cases, Kollam and Idukki one each, Alapuzha three, Malappuram and Kannur two each, Kozhikode 11 and Wayanad eight.

Three more children tested positive for shigellosis at Wayanad Mar Baselios HSS on Thursday, where around 514 children have shown symptoms of the infection. The results of seven more samples are awaited, Health Minister K. Muraleedharan said here on Thursday.

He said that 47 people are currently undergoing treatment in hospitals, both public and private, in Wayanad, while three people were hospitalised in Kozhikode and Thiruvana-

nanthapuram, and two others in Kollam.

Mr. Muraleedharan said that water samples from both the borewell as well as the well in Mar Baselios school had been sent for testing and that the well water was found to be highly contaminated.

Shigellosis is sporadically reported from all districts every year, with occasional outbreaks. Last year, a total of 133 cases had been reported, with zero deaths.

Shigellosis is a severe

form of diarrhoeal outbreak involving intestinal tissue invasion by the bacteria, causing highly infectious, bloody, and mucoid stools (bacillary dysentery) accompanied by high fever and severe abdominal cramps.

The infection spreads through contaminated water, food and contact from infected surfaces and is extremely infectious. Ingesting as few as 10 to 100 bacteria can cause an infection. It spreads rapidly via the fecal-oral route.

Bacillary Dysentery (Shigellosis) Cases Rise in Kerala

What is Shigellosis (Bacillary Dysentery)?

Shigellosis is a highly contagious **bacterial diarrhoeal disease** caused by Shigella bacteria.

It is a severe form of diarrhoeal outbreak involving intestinal tissue invasion.

Symptoms: Bloody and mucoid stools (bacillary dysentery), high fever, severe abdominal cramps.

Extremely infectious as few as 10–100 bacteria can cause an infection.

Spreads rapidly via the fecal-oral route.

Transmission Routes

Contaminated water primary route (well water at Wayanad school found highly contaminated).

Contaminated food and contact with infected surfaces.

Person-to-person spread via the fecal-oral route.

Bacillary Dysentery (Shigellosis) Cases Rise in Kerala

Current Situation in Kerala (June 2026)

34 cases reported in June 2026 alone across Kerala districts.

Kozhikode: 11 cases (highest); Wayanad: 8; Thiruvananthapuram: 6.

Around 514 children at Mar Baselios HSS, Wayanad showed symptoms of the infection.

In 2025, a total of 133 cases were reported across Kerala with zero deaths.

Prevention and Treatment

WASH : Water, Sanitation, and Hygiene is the primary prevention framework.

Safe drinking water, hand hygiene, food safety, and proper sanitation are key.

Antibiotics are effective but antibiotic resistance is a growing concern for Shigella.

No licensed vaccine is currently available for Shigellosis.

Practice Questions

Q. With reference to Shigellosis (Bacillary Dysentery), which of the following statements is/are correct?

- 1. Shigellosis is caused by a virus and spreads through respiratory droplets.**
- 2. The infectious dose for Shigella can be as low as 10–100 bacteria.**
- 3. Contaminated water and the fecal-oral route are the primary modes of Shigella transmission.**

Which of the above statements is/are correct?

- (a) 1 and 2 only**
- (b) 2 and 3 only**
- (c) 1 and 3 only**
- (d) 1, 2 and 3**

Answer : (b) 2 and 3 only

Statement 1 is incorrect — Shigella is a bacterium (not a virus) and spreads via the fecal-oral route, not respiratory droplets. Statements 2 and 3 are correct.

Thank you